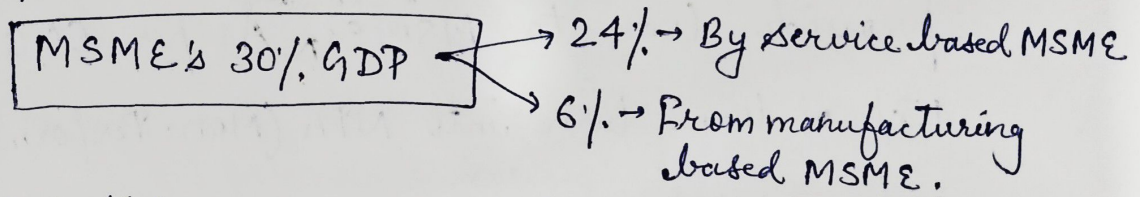


MSME sector is considered as the backbone of India's economy, yet its growth remains constrained due to multiple challenges. Discuss the major bottlenecks faced by MSMEs in India & critically evaluate the budgetary provisions aimed at addressing this issues.

MSME (Micro Small Medium Enterprises) is the second largest employment generating sector after agriculture. It accounts for 30% of overall employment generation. It is considered as backbone of Indian economy because of following significances:

① GDP contribution → MSME accounts for 30% of overall GDP.



② Export potential → MSME contributes for 45% of overall export from India.

③ Inclusive growth → As MSME ~~is~~ can provide employment in rural areas. So, its benefits could get reached upto marginalised section.

④ Women empowerment → Financial independence through MSME would promote women empowerment.

⑤ Financial inclusion → JAM (Jan Dhan Aadhar Mobile) could bring unbanked into banking system through by providing subsidies to MSME employees.

Despite of its significances, MSME sector's growth remains constrained due to following challenges:

- ① Unavailability of credit → As per RBI²⁰¹⁹, 70% MSMEs do not avail benefits from formal credit system. They borrow money from moneylenders on high interest.
- ② Procurement of raw material → As per FISME report 2022, 60% MSME are dependent on external suppliers for raw material. This increases the cost of production.
- ③ Delayed Payment → Banks generally hesitate to provide loan to MSMEs ^{because of fear of lack of recovery.} As per CGS report, 15% of loans turn into NPA (Non-Performing Asset) and ~~increases~~.
- ④ Access to modern tech → As per NASSCOM, till now only 10% MSME ~~ad~~ have adopted digital technology. Due to this, Indian MSME sector lags behind in global competition.
- ⑤ Limited reach to market → MSMEs face lack of availability to markets even their online reach is limited.

⑥ Regulatory cholesterol → Excessive regulation & approval by government delay the entire process.

To address these issues, government had announced budgetary provisions ^{of the year 2025-26} regarding improvement in condition of MSME.

Although, these provisions bring up many benefits but it ^{may} face following challenges too. These are :-

PROVISIONS	BENEFITS	CHALLENGES
① Revision in classification criteria for MSMEs	Revised classification would ^{show} show benefits of economics of scale. This would increase production.	→ This benefit may get availed by big companies. → Small companies would now have to face compete with big businesses.
② Credit Guarantee Cover	Financial accessibility would get enhanced.	→ Risk of NPA → Fiscal deficit for government.
③ MSME credit card Scheme	→ Problem of short term liquidity crisis would be shortened → New entrepreneurship arrival	→ Government supported MSME had 12% defaulted loans as per RBI report, 2019. → Risk of unauthorised borrowing or credit card fraud.

④ Fund of Funds for Startups

→ To make self-reliant startup ecosystem.

→ Make Domestic Venture capital strong

→ ~~90% Startups fail~~

→ As per NASSCOM report, 90% startups fail at initial stage. Out of this, 60% fail because of lack of funds. This shows high startup mortality rate in India.

→ Indian Venture capital market is new, therefore there is high risk in its management.

⑤ National Institute of Food Technology

→ This would enhance farmer's income.

→ Will promote institutional funding, entrepreneurship culture and employment opportunities

→ Indian food processing industries face export barriers problems through Sanitary and Phytosanitary measures.

Thus, Indian MSMEs could become ~~and~~ trillion dollar industry if these provisions are implemented properly.

This would increase involvement of all primary, secondary and tertiary in nation building and Indian MSMEs would get global recognition.